Yicheng Liu

liu.9716@osu.edu

Education

The Ohio State University 2021 - present
Ph.D. in Finance

Duke University 2019 - 2021
M.A. in Economics

Nanjing University 2015 - 2019
B.A. in Finance, minor in Mathematics

Research interest

Asset pricing, macro-finance, intangible capital, market power

Working papers

Institutional Investors' Subjective Risk Premia: Time Variation and Disagreement
(with Spencer Couts, Andrei Gonçalves, and and Johnathan Loudis)
Abstract: In this paper, we study the role of subjective risk premia in explaining subjective expected return time variation and disagreement using the long-term Capital Market Assumptions of major asset managers and investment consultants from 1987 to 2022. We find that market risk premia explain most of the expected return time variation, with the rest explained by alphas. The risk premia effect is almost entirely driven by time variation in risk quantities as opposed to risk price. Nevertheless, risk price explains about half of the transitory effect of risk premia on expected returns. Market risk premia also explain most of the expected return disagreement, but in this case alphas have a quantitatively significant effect, and risk price and risk quantities are roughly equally responsible for the risk premia effect. Our results provide benchmark moments that asset pricing models should match to be consistent with institutional investors' beliefs.

Investment-based Costs of Equity
(with Chen Xue and Lu Zhang)
Abstract: This paper develops the q^5-characteristics model for estimating costs of equity as out-of-sample forecasts from cross-sectional predictive regressions. The q^5-characteristics model is competitive in evaluation tests, outperforming the accounting-based implied cost of equity in predicting returns in the cross section but underperforming in the time series. The q^5 cost of equity is precise at the industry level and aligned with future realized factor premiums. Its firm-level distribution is weakly left-skewed, whereas the accounting cost of equity is weakly right-skewed. However, the accounting cost of equity substantially outperforms in time series predictability, especially for the equity premium.

Work in progress

Intangibles, Market Power, and Firm Value
(Job market paper)
Abstract: Intangibles contribute to firm valuation through both production efficiency and market power in product markets. This paper develops and estimates a dynamic firm model in which firms invest in intangible capital to enhance both productivity and pricing power. Using the estimated model, I decompose firm-level market value into components of physical capital, intangibles in production, intangible-driven market power, and residual market power. I find that intangible-driven market power accounts for 10% of total market valuation - more than $3 trillion in 2024 - while intangibles in production contribute 16.8%. The composition of firm value evolves over time, driven by both within-firm changes and cross-firm reallocation. Over the firm life cycle, intangible capital contributes more to production for younger firms, while its contribution to market power increases with age. In the cross section, intangibles explain around 30% of firm value variation, roughly 40% of which operates through market power.

Research and Teaching Experience

Instructor, Investments, The Ohio State University	Summer 2024
Nominated for Outstanding Undergraduate Instructor Award	
Research assistant, for Prof. Andrei Gonçalves, The Ohio State University	2025-2026
Research assistant, for Prof. Lu Zhang, The Ohio State University	2021-2025
Teaching assistant, Economic Principles, Duke University	Summer 2020
Research assistant, for Prof. James Roberts, Duke University	2019-2021

Awards

Bartels Fellowship, The Ohio State University	2025
Merit Scholar Award, Duke University	Fall 2019 and Spring 2020
Zhongli International Scholarship, Nanjing University	2017

Professional Experience

Referee: Journal of Banking and Finance, Journal of Empirical Finance

Skills

Programming: Julia, R, MATLAB, STATA, SAS
Languages: English (fluent), Chinese (native), Japanese (intermediate)